

Why Stablecoins Matter in DeFi ?

Stablecoins have emerged as the foundational backbone of decentralised finance, providing the stability necessary for the ecosystem to function properly. Unlike volatile cryptocurrencies, these digital assets maintain a steady value, typically pegged to the US dollar.

When we refer to a USD peg, it means 1 stablecoin = 1 US dollar.

"Depeg" occurs when 1 stablecoin is not equal to 1 \$, causing significant market disruption.



Types of Stablecoins

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Fiat-Backed Stablecoins

Backed 1:1 by USD in banks and treasuries

- **Examples:** USDT (Tether), USDC (Circle), USD1, FDUSD
- **Pros:** Simple mechanism, highly liquid, widely accepted
- **Cons:** Centralised control, significant regulatory exposure

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Overcollateralised/Decentralised

Issued by locking crypto as collateral at ratios exceeding 1:1

- **Example:** DAI requires ~\$1.50 in crypto to issue \$1 of DAI
- **Pros:** Decentralised governance, transparent operations
- **Cons:** Risk of liquidation during market downturns

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Algorithmic Stablecoins

Maintain peg through algorithmic mechanisms or delta-neutral strategies

- **Examples:** USDe, USDS, USDF
- **Pros:** Innovative design, bank-independent, implied yield
- **Cons:** Higher depegging risk if strategies fail

Name		Price	1h %	24h %	7d %	▼ Market Cap ⓘ	Volume(24h) ⓘ
 Tether USDT	Buy	\$1.00	▼ 0.04%	▲ 0.00%	▲ 0.02%	\$167,240,180,462	\$122,172,702,892 122.15B
 USDC USDC	Buy	\$1.00	▼ 0.04%	▲ 0.01%	▲ 0.02%	\$68,983,328,945	\$16,717,454,315 16.72B
 Ethena USDe USDe	Buy	\$1.00	▲ 0.04%	▲ 0.05%	▲ 0.01%	\$12,232,391,785	\$207,387,148 207.25M
 Dai DAI	Buy	\$1.00	▲ 0.01%	▲ 0.01%	▲ 0.01%	\$5,365,957,479	\$20,586,155,603 20.58B
 World Liberty Financial USD1	Buy	\$1.00	▲ 0.02%	▲ 0.06%	▲ 0.14%	\$2,486,332,552	\$362,730,589 362.48M
 First Digital USD FDUSD	Buy	\$0.9980	▼ 0.02%	▲ 0.06%	▲ 0.03%	\$1,449,580,298	\$5,888,863,254 5.90B
 Falcon USD USDF	Buy	\$1.00	▲ 0.02%	▲ 0.04%	▲ 0.10%	\$1,253,348,730	\$28,965,142 28.96M

Yield Opportunities with Stablecoins

5-10%

Fiat based Stablecoin Lending

Deposit USDT/USDC on lending protocols like Aave or Fluid to earn.

(<https://youtu.be/-kVBUmLGBzs>)

12-20%

Algorithmic Stablecoin Lending

Higher-yield opportunity by depositing USDE on platforms like Aave or Morpho, with correspondingly higher risk profile.

(<https://youtu.be/LNo0Fb4xqE8>)

Why These Yields Matter

In traditional finance, USD deposits might earn 1-2% annually. DeFi stablecoin strategies offer 5-15× these returns without exposure to crypto volatility.

The yield differential represents one of the most compelling entry points for traditional finance professionals exploring DeFi opportunities.

10%+

Liquidity Provision

Supply USDT/USDC pairs to Uniswap to earn trading fees plus additional token incentives.

(<https://youtu.be/busXMze0EpM>)

Essential Tools for Tracking Stablecoins

DeFiLlama

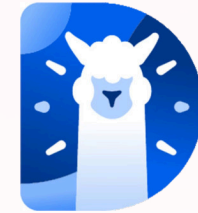
The comprehensive dashboard for monitoring yields across different blockchains and protocols.

- Compare APYs across lending platforms
- Track total value locked (TVL) in stablecoin protocols
- Discover new yield opportunities as they emerge

CoinGecko / CoinMarketCap

Industry-standard trackers for monitoring stablecoin and other fundamentals:

- Real-time peg stability monitoring
- Market capitalisation and trading volume
- Historical performance during market stress events



DeFiLlama



CoinMarketCap



coingecko

APY - Annual Percentage Yield